

23STCV01900 23STCV01900

County: los-angeles

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Case Number: 23STCV01900 Hearing Date: July 14, 2026 Dept: 1

Preliminary

Approval of Class Action Settlement

Department

SSC-1

Hon. Theresa

M. Traber

Michael Merle v. USC Arcadia Hospital

Case No.: 23STCV01900

Hearing: July 14, 2026

TENTATIVE

RULING

The Court's tentative ruling is to GRANT

preliminary approval contingent on the parties addressing the following:

1)

Based on

the definition of "Settlement Class" it appears that individuals outside of California who completed forms on Defendant's Website could be part of the Settlement Class. Why is it proper that this Court has jurisdiction over a nationwide class? Provide additional briefing on whether significant contacts exist with California in

this case to satisfy constitutional concerns and support certification of a nationwide class. (See Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 243; Clothesrigger v. GTE Corp. (1987) 191 Cal.App.3d 605, 612-13; Rutledge v. Hewlett-Packard Co. (2015) 238 Cal.App.4th 1164, 1186.)

2)

According to the Settlement Agreement, motions for a Class Representative Service Payment and for attorney fees and expenses shall be filed 21 days prior to the Response Deadline. (§§10.1, 11.1) These deadlines should be connected to the Response Deadline and not the Final Approval Hearing?

3)

Update the Settlement Agreement to include the numerical values of the attorney fees and expenses requested.

4)

According to the Settlement Agreement, Plaintiff is represented by attorneys from Coulson P.C. and Arias Sanguinetti Wang & Team LLP. (§1.6) Provide information regarding any fee splitting agreement and whether Plaintiff has given written approval.

5)

According to the Settlement Agreement, the value of the one-year subscription of CyEx Privacy Shield Pro will be deducted from the Net Settlement Fund. (§1.15) What is the monetary value of this subscription?

6)

Claim Requirement:

a. Either provide an estimate of the anticipated claims rate or provide an explanation why a claims rate cannot be provided.

b. Indicate what actions class counsel will take to encourage claim submission.

c. Explain

why the claims process is not so burdensome that relief would be inaccessible to class members.

d. According

to the Settlement Agreement, “[i]n the exercise of its duties outlined in this Agreement, the Settlement Administrator shall have the right to reasonably request additional information from the Parties or any Participating Settlement Class Member.” (§5.3.5) Moreover, according to the Claim Form, the Settlement Administrator may request additional documents. (Claim Form, pg. 1.) What type of additional information or documents may be requested?

7) According to the Settlement Agreement, a Request for Exclusion must contain the information listed in §7.4, including “a statement to the effect that ‘I hereby request to be excluded from the proposed Settlement Class in Merle v. USC Arcadia Hospital, No. 23STCV01900 (Los Angeles County Superior Court).’” Submit an amended settlement agreement and notice deleting the providing requiring that class members use specific language to request exclusion or provide supplemental briefing explaining why it is necessary for such language to be used.

8)

According to §8.2 of the Settlement Agreement, “Objections must be in writing and mailed to the Settlement Administrator.” However, according to the previous paragraph, objections may be “in writing, in person, or through counsel...at the Final Fairness Hearing.” (§8.1) Clarify that objections may be submitted in writing by mailing an objection to the Settlement Administrator or presented in-person at the Final Fairness Hearing.

9) According to the Settlement Agreement, “[t]he Settlement Fund shall remain subject to the jurisdiction of the Court until such time as the entirety of the Settlement Fund is distributed pursuant to this Settlement Agreement or returned to those who paid the Settlement Fund in the event this Settlement Agreement is voided, terminated, or cancelled.” (§3.6.2) Explain what “subject to the jurisdiction of the Court” means.

10) According

to the Settlement Agreement, the Class

Representative Service Payment shall be paid by the Settlement Administrator within 15 days after the Effective Date and attorney fees and expenses shall be paid within 14 days after the Effective Date.

(¶¶10.2, 11.2) The Administrator

will make Settlement Payments within 35 days after the Effective Date. (¶5.3.6) Ensure that payments of the Class Representative Service Payment, Administration Costs, and Attorney Fees and Expenses do not precede payment of Settlement Payments to the class members.

11) Distribution of Residual Funds:

a. According to the Settlement Agreement, "Settlement Class Members with Approved Claims who receive Settlement Payment by physical check shall have 120 days following distribution to deposit or cash their check." (¶4.1.5) The expiration date for the checks should be extended to 180 days.

b. Explain

why the cy pres distribution fulfills the purposes of the lawsuit or is otherwise appropriate.

c. Detail

the steps that will be taken to ensure compliance with Code of Civil Procedure section 384, which requires that the Court re-open judgments following the final distribution of funds to identify the cy pres recipient in the judgment and include the unclaimed amount, plus an unspecified amount of interest. Such information should be actively contemplated/provided for within the current terms of the settlement.

d.

Provide declarations from Plaintiff, Plaintiff's counsel, Defendant, and Defendant's counsel disclosing any interest or involvement (or lack thereof) in the governance or work of the proposed cy pres recipient.

12)

According to the Settlement Agreement, Plaintiff is represented by attorneys from Coulson P.C., and Arias Sanguinetti Wang & Team LLP. (¶1.6) Provide a sworn declaration summarizing the relevant experience of counsel from Arias Sanguinetti Wang & Team LLP and include a list of all prior class actions in which counsel have been approved to act as lead or co-counsel.

13)

According to

Class Counsel, “[t]he maximum recovery for the class members’ CIPA claim is \$5,000 per infraction.” (MPA at

9:17-18.) The

proposed \$200,000 settlement, after deducting the requested attorney fees and expenses (\$86,600), service award (\$1,500), and administration costs (\$15,296), leaves \$96,604. However, Class Counsel has not

disclosed the value of the CyEx subscription to be deducted from the Settlement Fund; thus, the Court cannot determine the amount that will remain for pro rata distribution to Participating Class Members who submit Approved Claims. Based on the information provided, the Court cannot evaluate each Participating Class Member’s potential recovery and determine whether the settlement is fair, adequate, and in the best interests of the class. The parties must provide sufficient information to permit the Court to make an independent determination that the consideration being received in exchange for the release of class claims is reasonable in light of the strengths and weaknesses of the claims, the defenses asserted, and the risks of continued litigation. The Court requests further briefing regarding (1) the value of the CyEx subscription, (2) the potential recovery for the CIPA claim, (3) defenses asserted by Defendant, and (4) any other relevant factors justifying the amount offered in settlement.

14) The “Released Claims” definition in ¶1.22

of the Settlement Agreement is overbroad and exceeds the claims alleged in the operative complaint. Settlement Class

Members should specifically release claims that were alleged or reasonably could have been alleged based on the facts in the operative complaint. They should not release “any and all claims or causes of action of every kind and arising out of the facts giving rise to the Action including, but not limited to all claims and causes of action, both known and unknown” or “any other form of relief that either has been asserted, or could have been asserted, by any Settlement Class Member against any of the Released Persons based on, relating to, or arising out of the same factual predicate as the allegations in the Action.”

(¶1.22) Revise accordingly.

15) According to the Settlement Agreement, “[u]pon the

entry of the Judgment, each and every Releasing Party shall be permanently barred and enjoined from initiating, asserting and/or prosecuting any Released Claim(s) against any of the Released Parties in any court, arbitration,

tribunal, forum or proceeding.”

(¶3.5.2) Moreover, the Final

Judgment will “[b]ar and enjoin all Releasing Parties from asserting against

any of the Released Parties any and all Released Claims.” (¶12.1.2; Proposed Order, ¶14.) Why is it proper to include this language in

¶¶3.5.2 and 12.1.2 of the Settlement Agreement and ¶14 of the Proposed Order

regarding enjoining Class Members? (See *Moniz*

v. Adecco USA, Inc. (2021) 72 Cal.App.5th 56, 84. (“[T]he preclusive effect

of a prior judgment is determined by the court in which it is asserted, not the

court that rendered it.” (*Fireside*

Bank Cases (2010) 187 Cal.App.4th 1120, 1131.))) The court will not issue injunctive relief

against absent class members. The

effectiveness of the release comes from satisfaction of due process

requirements for notice and an opportunity to opt out or be heard.

16) Provide Plaintiff’s sworn declaration

explaining why he is an adequate Class Representative.

17)

Address the following issues in the Class Notices:

a.

Long Form Notice (Exhibit B)

i.

Provide the full definition of the Settlement Class,

along with the exclusions set forth in the Settlement Agreement at ¶1.39.

ii.

Ensure that the release language set forth in the

Settlement Agreement is incorporated into the Notice.

iii.

In the section regarding the procedures for submitting

objections, clarify that objections may also be presented in person at the

Final Fairness Hearing. (Notice, p. 11.)

iv.

The Notice should inform Class Members that a Spanish

translation is available.

b.

Summary Notice (Exhibit C)

i.

Provide the full definition of the Settlement Class,
along with the exclusions set forth in the Settlement Agreement at ¶1.39.

ii.

Ensure that the release language set forth in the
Settlement Agreement is incorporated into the Notice.

iii.

The Notice should inform Class Members that a Spanish
translation is available.

iv.

Provide information about the Settlement Fund and the
proposed deductions for attorney fees and expenses, service award, and
administration costs.

v.

Provide the date, time, and place of the final approval
hearing.

c.

Claim Form (Exhibit D)

i.

The Claim Form states: "Use this form to make a claim for
a pro rata cash fund payment or submit a claim form online at
www.xxxxxxxxxx.com/claim." (Claim Form,
p. 1.) Why does the Claim Form not
indicate that Class Members must submit a Claim Form to receive the Privacy
Protection benefit?

ii.

Why do Class Members have to submit the Claim Form
online, instead of by mail, to receive a Settlement Payment via PayPal or
Venmo? (Claim Form, p. 2.)

18) Will Class Members who receive re-sent Notices be given an extended deadline to respond (opt-out, object, file Claim Form)?

19) According

to ¶14.10 of the Settlement Agreement, "in the event that this Agreement is not approved by the Court or the Settlement is terminated or fails to become effective in accordance with its terms, including, but not limited to, termination of the Agreement pursuant under the provisions herein, the time period from September 10, 2025, to the date on which this Agreement is terminated or fails to become effective, if any, (i) shall not count for the purpose of calculating the five-year period to bring the Action to trial under California Code of Civil Procedure Section 583.310, and (ii) shall not be used as the basis for any claims, rights or defenses, except those relating to the foregoing provision relating to California Code of Civil Procedure § 583.310, based on the passage of time during such period." Explain why the parties selected the time period to begin on September 10, 2025.

20)

The Proposed Order identifies the Claim Form as Exhibit C; however, the Claim Form is attached as Exhibit D. (Proposed Order, ¶11.)

The

Court orders the parties to submit supplemental briefing and supporting declarations as well as revised versions of the Settlement Agreement and Class Notice to address the Court's concerns.

The parties are directed to submit the revised signed Settlement Agreement along with a red-lined copy showing all changes and a revised Class Notice with a red-lined copy showing the changes to the notice. Please ensure that all revisions of the Settlement Agreement are properly incorporated into the revised Class Notice. Also review the proposed Order, revise it to conform to the final settlement terms, and file the revised proposed Order with the Court.

All

supplemental papers are due to be filed by

_____. The

Court sets a non-appearance case review for _____

to review the supplemental papers, which are due at least five court days beforehand. The hearing on the motion

for final approval is set for _____ at 10:30 a.m.

BACKGROUND

This is a medical data breach class action. On January 30, 2023, Plaintiff Michael Merle (“Plaintiff” or “Merle”), individually and on behalf of all others similarly situated, initiated this action against USC Arcadia Hospital (“Defendant”) asserting the following claims: (1) violation of the California Invasion of Privacy Act (“CIPA”), Cal. Penal Code §631(a) and (2) violation of the Confidentiality of Medical Information Act (“CMIA”), Cal. Civil Code §56.10(d). Plaintiff alleges that USC Arcadia Hospital is a healthcare provider that owns and/or operates the website uscarcadiahospital.org, along with other websites and patient portals. Users can utilize these websites to search for medical information, services and physicians; schedule appointments; pay for medical services; and sign up for emails/event updates. Plaintiff further alleges that Defendant used web analytics technologies, including Meta Pixel and other tracking tools on its websites, which resulted in the transmission of users’ personal and medical information to third parties without the users’ knowledge or consent.

On October 30, 2023, the Court sustained Defendant’s demurrer as to the second cause of action for violation of the CMIA with leave to amend. Plaintiff did not file an amended complaint and the litigation proceeded on the CIPA claim only.

On March 5, 2024, Defendant filed an Answer.

On January 6, 2026, Plaintiff filed a Notice of Class Action Settlement and on January 23, 2026, he filed an Amended Notice of Class Action Settlement. A copy of the fully executed Class Action Settlement Agreement (“Settlement Agreement” or “Agreement”) is attached to counsel Coulson’s declaration as Exhibit 1.

Now before the Court is the Motion for Preliminary Approval of Class Action Settlement, filed on March 2, 2026.

SETTLEMENT

CLASS DEFINITION

.

“Settlement

Class” means any person who completed forms on Defendant’s website to sign up for email/events updates from Defendant from February 1, 2022, to January 31, 2023 (“Class Period”). The total number of Class Members is estimated at 582. Excluded from the Settlement Class are: (1) the Judge(s) presiding over the Action and members of their families; (2) Defendant, its subsidiaries, parent companies, successors, predecessors, and any entity in which Defendant or its parents have a controlling interest, and its current or former officers and directors; (3) natural persons who properly execute and submit a Request for Exclusion prior to the Response Deadline; and (4) the successors or assigns of any such excluded natural person. (¶1.39)

o

Based on

the definition of “Settlement Class” it appears that individuals outside of California who completed forms on Defendant’s Website could be part of the Settlement Class. Why is it proper that this Court has jurisdiction over a nationwide class? Provide additional briefing on whether significant contacts exist with California in this case to satisfy constitutional concerns and support certification of a nationwide class. (See *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 243; *Clothesrigger v. GTE Corp.* (1987) 191 Cal.App.3d 605, 612-13; *Rutledge v. Hewlett-Packard Co.* (2015) 238 Cal.App.4th 1164, 1186.)

o

“Website” means

uscarcadiahospital.org and methodisthospital.org and other websites or patient portals that Defendant utilized, controls, or controlled during the Class Period. (¶1.36)

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“Settlement Class Member” or “Class Member” means a Person who falls within the definition of the Settlement Class.
(¶1.29)

o

“Participating Settlement Class Member” means a Settlement Class Member who submits an Approved Claim for their given share of the Settlement Benefits pursuant to the terms and conditions of this Agreement. (¶1.17)

.

“Effective Date”

means one business day following the latest of: (i) the date upon which the time expires for filing or noticing any reconsideration or appeal of the Final Approval Order and Judgment, or entry of the Final Approval Order and Judgment if no person or entity has standing to appeal or seek reconsideration; (ii) if there is an appeal or appeals or reconsideration sought, the date on which the Final Approval Order and Judgment is affirmed without any material modification and is no longer subject to judicial review; or (iii) the date of final dismissal of any appeal or reconsideration or the final dismissal of any proceeding on certiorari with respect to the Final Approval Order and Judgment, and the Final Approval Order and Judgment is no longer subject to judicial review. Notwithstanding the above, any order modifying or reversing any attorneys’ fees, costs, and expenses or service award to a Class Representative shall not affect the “Effective Date” or any other aspect of the Final Approval Order and Judgment. (¶1.9)

Plaintiff shall

move the Court for final settlement approval and entry of the Final Approval Order and Judgment no later than twenty-one (21) days prior to the Final Fairness Hearing. (¶3.4)

TERMS OF SETTLEMENT AGREEMENT

The

essential terms are as follows:

Settlement Fund (“SF”) is \$200,000,
non-reversionary. (¶¶1.31, 3.6.1, 3.6.4)

Net Settlement Fund (“Net”), means the amount of funds
that remain in the SF after funds are paid from or allocated for payment for
the following: (¶1.15)

o

Up to \$15,296 in settlement administration costs (¶5.1.1);

§ All

Taxes relating to the Settlement Fund shall be paid out of the Settlement Fund, shall be considered an Administrative Expense.

(¶13.6.7)

o

Up to \$1,500 for Class Representative Service Award

(¶10.1);

§ Any

request for such award of Service Award must be filed at least twenty-one (21) days prior to the Response Deadline. (¶10.1)

[Why is the deadline connected to the Response Deadline and not the Final Approval Hearing?]

o

Up to \$86,600 in Attorney Fees and Expenses (MPA at 6:16);

§ Approximately

\$30,000 in expenses requested. (¶11.4);

§ Update

the Settlement Agreement to include the numerical values of attorney fees and expenses sought.

§ Any such motion shall be filed at least twenty-one (21)

days prior to the Response Deadline. (¶11.1) [Why is the deadline connected to the Response Deadline and not the Final Approval Hearing?]

§ According

to the Settlement Agreement, Plaintiff is represented by attorneys from Coulson P.C. and Arias Sanguinetti Wang & Team LLP.

(¶1.6) Provide information

regarding any fee splitting agreement and whether Plaintiff has given written approval.

o

One-year

subscription of CyEx Privacy Shield Pro for every Participating Settlement Class Member. (¶1.21)

§ What is the monetary value of this subscription?

.

Settlement

Benefits:

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(1) “CyEx Privacy

Shield” - All Settlement Class Members who submit a valid claim

form will receive a one-year subscription of CyEx Privacy Shield Pro, a

comprehensive privacy service that helps subscribers restore anonymity and

protect their online footprint and includes, among other services, a Virtual

Private Network, Data Broker Opt Out services, Dark Web Watchlist services, and

a Password Manager. (¶¶1.21, 4.1.3)

o

(2) Cash Fund Payment - All Settlement Class

Members who submit a valid claim form will receive an equal share of the Net

Settlement Fund. (¶4.1.1)

.

Claim

Requirement:

Settlement Class Members must submit a valid Claim Form to receive a

settlement benefit. The Settlement Administrator shall review claims for

validity and completeness. For claims deemed invalid, the Settlement

Administrator will provide Settlement Class Members an opportunity to cure in

the manner set forth below. (¶4.1)

o

Settlement Class

Members may submit electronically verified Claim Forms to the Settlement

Administrator through the Settlement Website, or may download Claim Forms to be

filled out, signed, and submitted physically by mail to the Settlement

Administrator. Claim Forms must be submitted electronically or postmarked on or

before the Response Deadline. (¶¶4.1.4,

5.2.1)

o “Approved Claim” means a claim submitted by a Settlement

Class Member that (a) is timely and submitted in accordance with the directions on the Claim Form (Exhibit D) and the terms of this Agreement; (b) is physically signed or electronically verified by the Settlement Class Member; (c) satisfies the conditions of eligibility for a Settlement Benefit as set forth herein; and (d) has been approved by the Settlement Administrator. (§§1.4, 1.5)

o

According to

counsel Coulson, "Claim forms are necessary for payment because Defendant does not necessarily have physical addresses or other payment information for the Settlement Class Members. Defendant does, however, have email addresses for each Settlement Class Member." (Coulson Decl., ¶9.)

o

Provide either an estimate of the anticipated claims rate or an explanation why a claims rate cannot be provided.

o

Indicate what actions class counsel will take to encourage claim submission.

o

Explain why the claims process is not so burdensome that relief will be rendered inaccessible to class members.

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Claims Review

Process: The Settlement Administrator will review Claim Forms submitted by Settlement Class Members to determine whether they are eligible for a Settlement Payment.
(§5.2.2)

o

The Settlement

Administrator shall have the authority to determine whether a Claim Form is substantially valid, timely, and complete. To the extent the Settlement Administrator determines a claim is deficient for a reason other than late posting, within fourteen days of making such a determination, the Settlement Administrator shall notify the Settlement Class Member of the deficiencies, and

that Settlement Class Member shall have thirty (30) days to cure the deficiencies and re-submit the claim. No notification is required for late-posted claims. The Settlement Administrator shall exercise reasonable discretion to determine whether the Settlement Class Member has cured the deficient claim. If the Settlement Class Member fails to cure the deficiency, the claim shall stand as denied and the Settlement Class Member shall be so notified. (§15.2.3)

o

The Settlement

Administrator shall use reasonable and customary fraud-prevention mechanisms to prevent (i) submission of Claim Forms by persons other than Settlement Class Members, (ii) submission of more than one Claim Form per person, and (iii) submission of Claim Forms seeking amounts to which the Settlement Class Member is not entitled. In the event a Claim Form is submitted without a unique class member identifier, the Settlement Administrator shall employ reasonable efforts to ensure that the Claim is valid. (§15.3.4)

o In the exercise of its duties outlined in this Agreement, the Settlement Administrator shall have the right to reasonably request additional information from the Parties or any Participating Settlement Class Member. (§15.3.5) Moreover, according to the Claim Form, the Settlement Administrator may request additional documents. (Claim Form, pg. 1.) [What type of additional information or documents may be requested?]

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“Response

Deadline” means the date 90 days after the Court issues the Preliminary Approval Order and is the date by which (a) all Claim Forms must be postmarked or received; (b) Settlement Class Members who wish to be excluded must submit, pursuant to the terms and conditions herein, a Request for Exclusion; and (c) Settlement Class Members who wish to object must submit, pursuant to the terms and conditions herein, any written objections to this Settlement Agreement or any motion for (i) the Fee and Expense Award, and (ii) the Service Award. (§1.26)

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Opt-Out Procedures. Any Settlement Class Member may submit a Request for Exclusion from the Settlement at any time before the Response Deadline. To be valid, the

Request for Exclusion must be postmarked on or before the Response Deadline. Requests for Exclusion must be submitted to

the Settlement Administrator via US Mail.

Requests for Exclusion must be in writing and must (1) identify the case name (Merle v. USC Arcadia Hospital, No. 23STCV01900 (Los Angeles County Superior Court)); (2) state the name, address, and telephone number of the Settlement Class Members seeking exclusion; (3) be signed by the Person(s) seeking exclusion; and (4) contain a statement to the effect that "I hereby request to be excluded from the proposed Settlement Class in Merle v. USC Arcadia Hospital, No. 23STCV01900 (Los Angeles County Superior Court)."

Any Person who elects to request exclusion from the Settlement Class shall not (i) be bound by any orders or Judgment entered in the Action, (ii) be entitled to relief under this Agreement, (iii) gain any rights by virtue of this Agreement, or (iv) be entitled to object to any aspect of this Agreement. (§§7.1-7.4)

o Do

not include language indicating that class members must use specific language to request exclusion or explain why it is necessary for such language to be used.

.
Objection Procedures. Any Settlement Class Member may object or comment in support of or in opposition to the Settlement and may do so in writing, in person, or through counsel, at their own expense, at the Final Fairness Hearing. Objections must be in writing and mailed to the Settlement Administrator. All Objections must include the following: (i) the case name Merle v. USC Arcadia Hospital, No. 23STCV01900 (Los Angeles County Superior Court); (ii) the Settlement Class Member's full name, current mailing address, and telephone number; (iii) a statement indicating whether the objection applies only to the objector, a subset of the Settlement Class, or the entire Settlement Class, (iii) the specific grounds for the objection; (iv) all documents or writings that the Settlement Class Member desires the Court to consider; (v) a statement regarding whether the Settlement Class Member or their counsel intend to appear at the Final Fairness Hearing; and (vi) the Settlement Class Member's signature. All written objections must be postmarked no later than the Response Deadline. (§§8.1-8.7)

o According

to §8.2, "Objections must be in writing and mailed to the Settlement Administrator."

However, according to the previous paragraph, objections may be “in writing, in person, or through counsel...at the Final Fairness Hearing.” (§8.1)
Clarify that objections may be submitted in writing or presented at the Final Fairness Hearing.

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Funding: Defendant shall pay, or cause to be paid through its insurance carrier, a payment of Two Hundred Thousand Dollars and No Cents (\$200,000.00) into the Settlement Fund within thirty (30) days after the Court enters the Preliminary Approval Order. (§13.6.1)

o

The Settlement

Fund shall be deposited in an Escrow Account established by the Settlement Administrator pursuant to the terms and conditions set forth below, but it shall remain subject to the jurisdiction of the Court until such time as the entirety of the Settlement Fund is distributed pursuant to this Settlement Agreement or returned to those who paid the Settlement Fund in the event this Settlement Agreement is voided, terminated, or cancelled. (§13.6.2) [Explain what “subject to the jurisdiction of the Court” means.]

.
Distribution: All Settlement Class Members who submit a valid claim form will receive an equal share of the Net Settlement Fund. (§14.1.1) The Settlement Administrator shall comply with the terms and conditions of this Agreement herein and shall timely make all Settlement Payments within thirty-five (35) days after the Effective Date. (§15.3.6)

o

Participating Settlement Class Members may receive their Settlement Payment via physical check sent by U.S. Mail, or may elect digital payment, e.g., PayPal, Venmo, etc. The option to receive Settlement Payment via a digital method is clearly explained on the Claim Form. (§14.1.2)

§ For any Settlement Payment returned to the Settlement Administrator as undeliverable (including, but not limited to, when the intended recipient is no longer located at the address), the Settlement Administrator shall make reasonable efforts to find a valid address and resend the Settlement Payment within thirty (30) days after the check is returned to the Settlement Administrator as undeliverable. The Settlement Administrator

shall only make one attempt to resend a Settlement Payment. (§4.1.6)

o

According to the Settlement Agreement, the Class Representative Service Payment shall be paid by the Settlement Administrator within 15 days after the Effective Date and attorney fees and expenses shall be paid within 14 days after the Effective Date. (§10.2, 11.2)

The Administrator will make Settlement Payments within 35 days after the Effective Date. (§5.3.6) Ensure that payments of the Class Representative Service Payment, Administration Costs, and Attorney Fees and Expenses do not precede the payment of Settlement Payments.

o

All Settlement

Class Members will receive a code for their subscription to CyEx Privacy Shield via email. (Ex. D: Claim Form, p. 2.)

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Distribution of Any Remainder. Settlement

Class Members with Approved Claims who receive Settlement Payment by physical check shall have 120 days following distribution to deposit or cash their check. (§4.1.5) To the extent any monies remain in the Net Settlement Fund more than 180 days after the distribution of Settlement Payments to the Participating Settlement Class Members, a subsequent Settlement Payment will be evenly made to all Participating Settlement Class Members with Approved Claims who cashed or deposited the initial payment they received, provided that the average check amount is equal to or greater than Five Dollars and No Cents (\$5.00). No portion of the Settlement Fund shall revert or be repaid to Defendant after the Effective Date. Any residual funds remaining in the Net Settlement Fund, after all other payments and distributions are made pursuant to the terms and conditions of this Agreement, shall be distributed to The Los Angeles Trust for Children's Health, or another appropriate recipient, subject to approval by the Court pursuant to California Code of Civil Procedure § 384. The Los Angeles Trust for Children's Health is a local non-profit that provides health care services to students in the Los Angeles Unified School District. (§4.2)

o

The expiration date for the checks should be extended to

180 days.

o

Explain why the cy pres distribution fulfills the purposes of the lawsuit or is otherwise appropriate.

o

Detail the steps that will be taken to ensure compliance with Code of Civil Procedure section 384, which requires that the Court re-open judgments following the final distribution of funds to identify the cy pres recipient in the judgment and include the unclaimed amount, plus an unspecified amount of interest. Such information should be actively contemplated/provided for within the current terms of the settlement.

o

Provide declarations from Plaintiff, Plaintiff's counsel, Defendant, and Defendant's counsel disclosing any interest or involvement (or lack thereof) in the governance or work of the cy pres recipient.

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Simpluris will act as administrator for the settlement. (¶¶1.27, 5.1; see Declaration of Simpluris, Inc.)

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Participating class members and the named Plaintiff will release certain claims against Defendant. (See further discussion below)

ANALYSIS

OF SETTLEMENT AGREEMENT

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Does a presumption of fairness exist?

1)

Was the settlement reached through arm's-length bargaining? According to Class

Counsel, the parties litigated the case for nearly three years, from the time of filing in January 2023 to the time of reaching a resolution in November 2025. (Coulson Decl., ¶12.) The proposed settlement was reached as a

result of arms-length negotiations following significant investigation of the facts and law and the negotiations were, at all times, adversarial and non-collusive in nature. (Id. at

¶3.) Good faith but prolonged negotiations

were required to ultimately reach an agreement, after multiple offers were rejected on both sides. (Ibid.) After multiple starts and stops to the litigation, rejection of multiple offers on both sides, serious consideration of the risks of litigation, and review of the legal basis for both parties' positions, the parties reached agreement in principle in November 2025, and a full set of terms in February of 2026. (Id.

at ¶4.) The proposed Settlement takes

into account the strengths and weaknesses of each side's position and the uncertainty of how the case might have concluded at certification or trial. (Id. at ¶5.)

2)

Were investigation and discovery sufficient to allow counsel and the court to act intelligently? According to Class Counsel, the parties conducted extensive factual investigation, litigated a demurrer, served extensive written discovery, met-and-conferred about Defendant's discovery responses on multiple occasions, subpoenaed third party discovery, and extensively negotiated numerous avenues of settlement before arriving at resolution of the claims. (Coulson Decl.,

¶2.) The parties first began discussing

settlement after the parties exchanged written discovery requests and responses in June 2024, but they did not reach a settlement. Thereafter, Plaintiff served certain third-party discovery, advancing the litigation while continuing to discuss the possibility of settlement. After multiple starts and stops to the litigation, rejection of multiple offers on both sides, serious consideration of the risks of litigation, and review of the legal basis for both parties' positions, the parties reached agreement in principle in November 2025, and a full set of terms in February of 2026. (Id. at ¶4.)

3)

Is counsel experienced in similar litigation? Class Counsel are experienced in class action litigation, including data privacy class actions. (Coulson Decl., ¶¶10-19, Exs. 2-3.)

According

to the Settlement Agreement, Plaintiff is represented by attorneys from Coulson P.C., and Arias Sanguinetti Wang & Team LLP. (¶1.6)

Provide a sworn declaration summarizing the relevant experience of counsel from Arias Sanguinetti Wang & Team LLP and include a list of all prior class actions in which counsel have been approved to act as lead or co-counsel.

4)

What percentage of the class has objected? This cannot be determined until the fairness hearing. See Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ("Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.").

CONCLUSION: The settlement is not entitled to a presumption of fairness.

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Is the settlement fair, adequate, and reasonable?

1. Strength of Plaintiff's case. "The most important factor is the strength of the case for plaintiff on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.)

According to Class Counsel, "The maximum recovery for the class members' CIPA claim is \$5,000 per infraction." (MPA at 9:17-18.)

2. Risk, expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See Weinstat v. Dentsply Intern., Inc. (2010) 180 Cal.App.4th 1213, 1226 ("Our Supreme Court has recognized that trial courts should retain some flexibility in conducting

class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate.”.)

4. Amount
offered in settlement.

According to Class Counsel, “[t]he maximum recovery for the class members’ CIPA claim is \$5,000 per infraction.” (MPA at 9:17-18.) The proposed \$200,000 settlement, after deducting the requested attorney fees and expenses (\$86,600), service award (\$1,500), and administration costs (\$15,296), leaves \$96,604. However, Class Counsel has not disclosed the value of the CyEx subscription to be deducted from the Settlement Fund; thus, the Court cannot determine the amount that will remain for pro rata distribution to Participating Class Members who submit Approved Claims. Based on the information provided, the Court cannot evaluate each Participating Class Member’s potential recovery and determine whether the settlement is fair, adequate, and in the best interests of the class. The parties must provide sufficient information to permit the Court to make an independent determination that the consideration being received in exchange for the release of class claims is reasonable in light of the strengths and weaknesses of the claims, the defenses asserted, and the risks of continued litigation. The Court requests further briefing regarding (1) the value of the CyEx subscription, (2) the potential recovery for the CIPA claim, (3) defenses asserted by Defendant, and (4) any other relevant factors justifying the amount offered in settlement.

5. Extent
of discovery completed and stage of the proceedings. This case was actively litigated for several years, including that the parties conducted extensive discovery prior to settlement.

6. Experience
and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, are experienced in class action litigation, including data privacy class actions. [See above for request for additional information.]

7. Presence of a governmental participant.

This factor is not applicable here.

8. Reaction of

the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the fairness hearing.

CONCLUSION:

The settlement cannot be preliminarily deemed "fair, adequate, and reasonable," without the supplemental information described above.

Scope of the release

On the Effective Date, and in consideration of full payment of the Settlement Fund by Defendant and the Settlement Benefits described herein, each Releasing Party shall be deemed to have released, acquitted, and forever discharged Defendant and each of the Released Parties from any and all Released Claims. (§3.5.1)

"Released

Claims" means any and all claims or causes of action of every kind and arising out of the facts giving rise to the Action including, but not limited to all claims and causes of action, both known and unknown, under California Civil Code § 56, Cal. Pen. Code §§ 631, 637, and all similar statutes in effect in any states in the United States, including, but not limited to, any and all claims for damages, injunctive relief, disgorgement, declaratory relief, equitable relief, attorneys' fees and expenses, pre-judgment interest, credit monitoring services, the creation of a fund for future damages, statutory damages, punitive damages, special damages, exemplary damages, restitution, the appointment of a receiver, claims under California law, and any other state or federal law for statutory damages arising from the Action described in Section 2.2 of this agreement or the disclosure of personal, confidential medical, or genetic information, and any other form of relief that either has been asserted, or could have been asserted, by any Settlement Class Member against any of the Released Persons based on, relating to, or arising out of the same factual predicate as the allegations in the Action. The definition of "Released Claims" shall be construed as broadly

as possible under California law to effect complete finality over this Action.

Released Claims shall not include the right of any Settlement Class Member or any of the Released Parties to enforce the terms of the settlement contained in this Settlement Agreement and shall not include the claims of Settlement Class Members who have timely opted out of the Settlement Class. For avoidance of doubt, "Released Claims" do not include medical malpractice, or other bodily injury claims, or claims relating to the enforcement of the settlement. (§1.22)

o The "Released Claims" definition in §1.22

of the Settlement Agreement is overbroad and exceeds the claims alleged in the operative complaint. Settlement Class

Members should specifically release claims that were alleged or reasonably could have been alleged based on the facts in the Operative Complaint. Revise accordingly.

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"Releasing

Parties" means Plaintiff and all Settlement Class Members who do not submit a Request for Exclusion. (§1.24)

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"Released

Parties" means Defendant USC Arcadia Hospital, and without limitation, each of its present and former parents, subsidiaries, divisions, departments, affiliates, predecessors, successors, assigns, insurers, and each of the foregoing's former or present directors, trustees, officers, non-Settlement Class Member employees, representatives, agents, providers, consultants, advisors, attorneys, accountants, partners, vendors, customers, insurers, reinsurers, and subrogees. (§1.23)

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Upon the entry of

the Judgment, each and every Releasing Party shall be permanently barred and enjoined from initiating, asserting and/or prosecuting any Released Claim(s) against any of the Released Parties in any court, arbitration, tribunal, forum or proceeding. (§13.5.2)

Moreover, the Final Judgment will "[b]ar and enjoin all Releasing Parties from asserting against any of the Released Parties any and all Released Claims." (§12.1.2; Proposed Order, §14.)

o

Why is this

language in ¶¶3.5.2 and 12.1.2 of the Settlement Agreement and ¶14 of the Proposed Order regarding enjoining Class Members proper? (See *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 84. (“[T]he preclusive effect of a prior judgment is determined by the court in which it is asserted, not the court that rendered it.” (*Fireside Bank Cases* (2010) 187 Cal.App.4th 1120, 1131.))) The court will not issue injunctive relief against absent class members. The effectiveness of the release comes from satisfaction of due process requirements for notice and an opportunity to opt out or be heard.

May conditional class certification be granted?

1.

Standards

A detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified. (*Amchem Products, Inc. v. Winsor* (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification. Specifically, a lesser standard of scrutiny is used for settlement cases. (*Dunk* at 1807, fn. 19.) Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (*Wershba* at 240.)

2.

Analysis

a. Numerosity.

There are approximately 582 putative class members. (MPA at 10:22.) This element is met.

b. Ascertainability.

The proposed class is defined above.

The class definition is “precise, objective and presently ascertainable.” (*Sevidal v. Target*

Corp. (2010) 189 Cal.App.4th 905, 919.) Settlement Class Members are easily identifiable through common and objective characteristics. Each Settlement Class Member signed up for email/event updates on Defendant’s website, and Defendant therefore has a list

of all Settlement Class Members and their email addresses. (MPA at 10:15-17.)

c.

Community

of interest. "The community of

interest requirement involves three factors: '(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.'" (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to commonality, Plaintiff's claim is based on Defendant's alleged use of website tracking technologies, which can be established through common proof. (MPA at 11:3-5.)

As to typicality, Plaintiff's claim is typical of the proposed class's because they are based on the same alleged conduct and harm. (MPA at 11:10-11.)

As to adequacy, Plaintiff does not have any interest that conflicts with, or is antagonistic to, the interests of the proposed class, and his attorneys are experienced in consumer litigation and class actions. (MPA at 11:14-17.)

Provide Plaintiff's sworn declaration explaining why he is an adequate Class Representative.

d. Adequacy of class counsel.

As indicated above, Class Counsel have shown experience in class action litigation, including wage and hour class actions. [See above for request for additional information.]

e.

Superiority.

Given the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION:

The class may not be conditionally certified since the prerequisites of class certification have been satisfied, based on the current record.

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Is the
notice proper?

a.

Content of class notice. The following documents are attached to the Settlement Agreement: Long Form Notice (Exhibit B), Summary Notice (Exhibit C), Claim Form (Exhibit D). Their content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

Address the following issues in the Notices:

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Long Form Notice (Exhibit B)

o

Provide the full definition of the Settlement Class,
along with the exclusions set forth in the Settlement Agreement at ¶1.39.

o

Ensure that the release language set forth in the
Settlement Agreement is incorporated into the Notice.

o

In the section regarding the procedures for submitting
objections, clarify that objections may also be presented in person at the
Final Fairness Hearing. (Notice, p. 11.)

o

The Notice should inform Class Members that a Spanish
translation is available.

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Summary Notice (Exhibit C)

o

Provide the full definition of the Settlement Class, along with the exclusions set forth in the Settlement Agreement at ¶1.39.

o

Ensure that the release language set forth in the Settlement Agreement is incorporated into the Notice.

o

The Notice should inform Class Members that a Spanish translation is available.

o

Provide information about the Settlement Fund and the proposed deductions for attorney fees and expenses, service award, and administration costs.

o

Provide the date, time, and place of the final approval hearing.

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Claim Form (Exhibit D)

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The Claim Form states: "Use this form to make a claim for a pro rata cash fund payment or submit a claim form online at www.xxxxxxxxxxx.com/claim." (Claim Form, p. 1.) Why does the Claim Form not indicate that

Class Members must submit a Claim Form to receive the CyEx subscription benefit?

o

Why do Class Members have to submit the Claim Form online, instead of by mail, to receive a Settlement Payment via PayPal or Venmo? (Claim Form, p. 2.)

b.

Method of class notice

Class

Data: Within ten (10) days after the Court enters the Preliminary Approval Order, Defendant shall provide the Settlement Administrator with the names and the most recent email associated with each Settlement Class Member that it has in its records (the "Class List"). The Settlement Administrator shall perform an email cleanse and skip trace of the Class List prior to sending Notice. (§6.2)

Notice

via email and website: Class Notice will be disseminated through a combination of Long Form Notice (Exhibit B), Summary Notice (Exhibit C) via email, and notice through the Settlement Website. (§1.30, 6.1) Within thirty (30) days after entry of the Preliminary Approval Order, the Settlement Administrator shall disseminate Notice to Settlement Class Members as follows: (§1.16, 6.4)

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The Settlement Administrator shall email the Summary Notice to all Settlement Class Members. (§6.4.1)

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For any Settlement Class Member who does not submit a Claim Form, Request for Exclusion, or Opt-Out request within thirty (30) days after the Notice Date, the Settlement Administrator shall re-send the Summary Notice to such Person via email with "Reminder:" added to the Subject Line. (§6.4.2)

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If any notice that has been emailed is returned as undeliverable, the Settlement Administrator shall attempt two other email executions. (§6.4.3)

o Will Class members who receive re-sent Notices be given an extended deadline to respond (opt-out, object, file Claim Form)?

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Settlement

Website: Prior to the Notice Date, the Settlement Administrator shall create and publish the Settlement Website. The Settlement Website shall contain information regarding

how to submit Claim Forms (including submitting Claims Forms electronically through the Settlement Website) and relevant documents, including, but not limited to, the Long Form Notice, the Claim Form, this Agreement, the Preliminary Approval Order entered by the Court, the operative complaint, and details about the Final Fairness Hearing, as well as the Final Approval Order and Judgement when entered by the Court. The Settlement Website shall also include a toll-free telephone number and mailing address through which Settlement Class Members may contact the Settlement Administrator directly. The Settlement Website shall also make available the Long Form Notice in Spanish. Any changes to the time or location of the Final Fairness Hearing will be announced promptly on the Settlement Website.

(¶¶1.33, 6.5)

c.

Cost of class notice. As indicated above, up to \$15,296 in settlement administration costs shall be paid by Defendant. Prior to the time of the final fairness hearing, the administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

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Attorney
fees and costs

CRC

rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately,

the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) In common fund cases, the Court may utilize the percentage method, cross-checked by the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) Despite any agreement by the parties to the contrary, "the court ha[s] an independent right and responsibility to review

the attorney fee provision of the settlement agreement and award only so much as it determined reasonable.” (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The

question of whether Class Counsel is entitled to \$86,600 in attorney fees and costs will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel.

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Incentive

Award to Class Representatives

The

Settlement Agreement provides for an enhancement award of \$1,500 to the named Plaintiff. In connection with the final fairness hearing, named Plaintiff must submit a declaration attesting to why he or she should be entitled to an enhancement award in the proposed amount. The named Plaintiff must explain why he or she “should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’ Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiff, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.) The Court will decide the issue of the enhancement award at the time of final approval.